economy. Karl Marx (see PUBLIC COMPANIES) pointed out the unfairness of a market economy, which benefitted the capitalist owners of industry at the cost of the working class. In its place, he proposed a communist society, which as well as collectively owning the means of production (factories and mills), could plan the production and distribution of goods centrally, rather than leaving that to market forces.

> IN ECONOMIC LIFE COMPETITION IS NEVER COMPLETELY LACKING, BUT HARDLY EVER IS IT PERFECT.
>
> JOSEPH SCHUMPETER

The middle ground

Marx's ideas of a planned economy were adopted by a number of communist states in the 20th century, with varying degrees of success. They were criticized by western economists, such as the Austro-Hungarian Ludwig von Mises, who argued that command economies could not respond to changes in supply and demand as quickly as the market, leading to huge surpluses and devastating shortages. Most economies operate between the two extremes. The influential English economist John Maynard Keynes (see INTERNATIONAL FINANCIAL INSTITUTIONS), while recognizing the strengths of competitive markets, argued that governments should intervene to lessen the effects of the economic ups and downs—especially in times of depression.